MODULE 9 – SPECIFIC LEGAL PROVISIONS RELATED TO MSME SECTOR

Main Questions

Question 1 (C2) (SM)

Explain the classification of micro, small and medium industry. What the basis of classification and how the figures are adjusted.

Answer

In the context of the MSMED Act, 2006 an "enterprise" is defined as any entity engaged in the manufacturing or production of goods, or providing or rendering services, that meets specified criteria related to investment in Plant & Machinery or equipment and annual turnover.

Micro Enterprises:

Investment in Plant and Machinery or Equipment: Not more than ₹ 2.5 crore and

Annual Turnover: Not more than ₹ 10 crores.

Small Enterprises:

Investment in Plant and Machinery or Equipment: Not more than ₹ 25 crores and

Annual Turnover: Not more than ₹ 100 crores.

Medium Enterprises:

Investment in Plant and Machinery or Equipment: Not more than ₹ 125 crores and

Annual Turnover: Not more than ₹ 500 crores.

Calculation of investment in P&M or equipment - Only tangible assets (excluding land and furniture/fittings) are included. For turnover calculation, exports are excluded. If an MSME moves to a higher category or out of MSME scope, it continues to receive non-tax benefits for 3 years from the date of transition.

Question 2 (C3) (SM)

Discuss the contribution of MSME sector in Indian economy.

Answer

a) The Micro, Small and Medium Enterprises (MSME) sector has emerged as a highly dynamic and important sector of the economy.
b) It provides large employment opportunities with comparatively lower capital investment than large industries.
c) MSMEs also promote industrialization among ordinary people, enabling wider participation in economic activities.
d) This helps in balanced regional development and ensures a more equitable distribution of economic growth.
e) MSMEs support large industries by functioning as ancillary or supporting units.

f) The MSME sector, with 3.6 crore units and 8 crore employees, is the second-largest employer in India after agriculture.
g) It contributes 45% to industrial production.
h) It accounts for 40% of India's exports.
i) It constitutes 37% of the GDP.
j) It contributes 31% to the service sector.

Question 3 (C7) (SM)

Discuss functions of the National Board for Micro, Small and medium Enterprises.

Answer

The MSME Board is an advisory body established under the MSMED Act, 2006. The Central Government has established, a Board known as the National Board for MSME with Head Office at Delhi.

Functions of the National Board for Micro, Small and medium Enterprises

a) Assess factors affecting MSME promotion and development.
b) Examine and review the impact of Central Government policies and programs on MSMEs.
c) Provide recommendations on MSME-related matters.
d) Address issues referred by the Central Government to facilitate MSME promotion and development.
e) Offer advice to the Central Government on the use of the MSME Fund.

Question 4 (C11) (4M) (June 2024 PQ) (7M) (Dec 2024 PQ)

State the time limit for payments to be made by buyers to MSMEs and the consequences of delayed payment to them.

(or)

All dues of MSME vendor have to be paid in time. In case of delay in making the payment, there will be some disallowances or interest payments to be made by the buyer under the Micro, Small and Medium Enterprises Development Act, 2006 (MSMED, Act, 2006). You are required to throw light on the same. What are to be disclosed in Financial Statements by the buyer entities?

Answer

The buyer is to make payment on or before the date agreed on between him and the supplier in writing or, in case of no agreement, before the appointed day. The agreement between seller and buyer shall not exceed more than 45 days. If the payment is not made within 45 days, the following consequences will arise:

Consequences of making delayed payments by the buyers to MSMEs Due date as per law-

a) Interest payment on outstanding dues- The Company is liable to pay interest on delayed payment to MSME registered supplier. Rate of Interest (Compound interest with monthly rests to the supplier on the amount from the appointed day or, on the date agreed on) shall be three times of the bank rate notified by the Reserve Bank.
b) Income tax disallowance stipulates that any payments owed to MSMEs, not resolved within 45 days, will not qualify for allowable expenses till it is paid.

c) Reporting in Financial Statement- In the notes to Accounts the company has have to give lot of new disclosures of default as mentioned above in their financial statement. Buyers who are required to have their annual accounts audited must include the following information in their annual financial statements:

- The principal amount and interest due to the supplier
- The interest paid by the buyer to the supplier.

Question 5 (C13) (8M) (June 2023 PQ)

Describe in brief the Digital MSME scheme and Emergency Credit Line Guarantee Scheme for MSME sector.

Answer

Digital MSME Scheme - The digital MSME is a government scheme for the MSME that was launched for promoting information and communication technology (ICT) in the MSME Sector by adopting ICT tools and applications in the production and business process of MSMEs.

The services that will be available forMSMEs through various service providers include:

a) ERP

b) Accounting

c) Manufacturing Design

d) Regulatory Compliance including GST

The digital MSME Scheme is aimed at creating awareness supporting developments and e-platforms, thereby creating literacy, training and promoting digital marketing in MSME sectors.

Emergency Credit Line Guarantee Scheme (ECLGS) - The ECLGS was launched by the government of India as a special scheme, considering the Covid-19 crisis. The scheme aims to provide 100% guarantee coverage to banks and NBFCs to enable them to extend emergency credit facilities to MSMEs to meet their additional term loan or additional working Capital requirements. Recently, the Govt extended the ECLGS to 31st March 2023 with purpose to provide relief to MSMEs. 100% Guarantee coverage for the additional funds sanctioned under the emergency credit line scheme. The scheme is attractive enough with a moratorium of period of 12 months.

Additional Questions

Question 1 (C13) (SM)

Discuss few majors taken to promote MSME sector units.

Answer

The schemes/programmes undertaken by the Ministry and its organizations seek to facilitate -

a) flow of credit from financial institutions/banks

b) technology upgradation and modernization

c) infrastructural facilities

d) modern testing facilities and quality certification

e) entrepreneurship development and skill upgradation
f) support for product development, design intervention and packaging
g) welfare of artisans and workers
h) assistance for better access to domestic and export markets etc.

The Government of India introduces several schemes for the benefit of these MSMEs. Following are the Schemes/ Programmes –

Single Window Registration Process

Facilitated by the Champions Control Room under the Ministry of MSME, along with Development Institutes (DIs) and District Industries Centres (DICs), enables MSMEs to complete all necessary registrations and access government support through a single point of contact.

National Small Industries Corporation Limited (NSIC)

Established in 1955, NSIC's main function is to promote, aid, and foster the growth of MSMEs in the country, typically on a commercial basis. It provides various support services to MSMEs including raw material procurement, product marketing, credit rating, technology acquisition, and adoption of modern management practices.

Digital MSME Scheme

Aimed at promoting Information and Communication Technology (ICT) adoption in the MSME sector. Provides services such as ERP, accounting, manufacturing design, and regulatory compliance including GST.

Emergency Credit Line Guarantee Scheme (ECLGS)

Launched to provide 100% guarantee coverage to banks and NBFCs for extending emergency credit facilities to MSMEs during the COVID-19 crisis. It is extended till 31st March 2022 to provide relief to MSMEs. Offers capped interest rates and a maximum tenure of 4 years with a 12-month moratorium period on the principal amount.

Secured Business Loan for MSMEs (SIDBI)

SIDBI, a primary financial institution for MSMEs, offers the Secured Business Loan (SBL) scheme. Designed to provide faster credit dispensation to MSMEs, especially in manufacturing and service sectors. Offers loans upto Rs. 10 crores with a maximum repayment tenure of 10 years, including a moratorium period.

Prime Minister Employment Generation Programme (PMEGP)

Credit-linked subsidy scheme introduced by the Government of India to promote employment generation through micro-enterprises. Aims to establish micro-enterprises in rural and urban areas, providing credit-linked subsidies to entrepreneurs.

